## THE INTERNET'S IMPACT ON COMPETITIVE ADVANTAGE:

- Because of the internet, the traditional competitive forces are still at work, but competitive rivalry has become much more intense.
- Internet technology is based on universal standards that any company can use, making it easy for rivals to compete on price alone and for new competitors to enter the market.
- Because information is available to everyone, the Internet raises the bargaining power of customers, who can quickly find the lowest-cost provider on the web.
- The internet has nearly destroyed some industries and has severely threatened more.
- The internet has had significant impact on the retail, music, book, software, telecommunications and newspaper industries.

## THE BUSINESS VALUE CHAIN MODEL:

The Value chain model highlights specific activities in the business where competitive strategies can best be applied and where information systems are most likely to have strategic impact.

The value chain model views the firm as a series or chain of basic activities that add a margin of value to a firm's product or services.

**Primary Activities:**

- ✓ Primary activities are most directly related to the production and distribution of the firm's product and services which create value for the customer.
- ✓ Primary activities include inbound logistics, operations, and outbound logistics, sales and marketing and service.
- Inbound logistics includes receiving and storing materials for distribution to production.
- Operations transform inputs into finished products.
- Outbound logistics entails storing and distributing finished products.

The service activity includes maintenance and repair of the firm's goods and services.

**Support Activities:**

- Support activities make the delivery of the primary activities possible and consist of organization infrastructure (administration and management)
- Human resources (employee recruiting, hiring and training)
- Technology (improving products and the production process)
- Procurement (purchasing input)

**Importance:**

Using the business Value Chain model, enables a business to consider benchmarking your business processes against your competitors or others related industries and identifying best business practices.

Benchmarking involves comparing the efficiency and effectiveness of your business processes against strict standards and then measuring performance against those standards.